BACKBURNER TRADE STRATEGY

The Chart Guys

The Setup

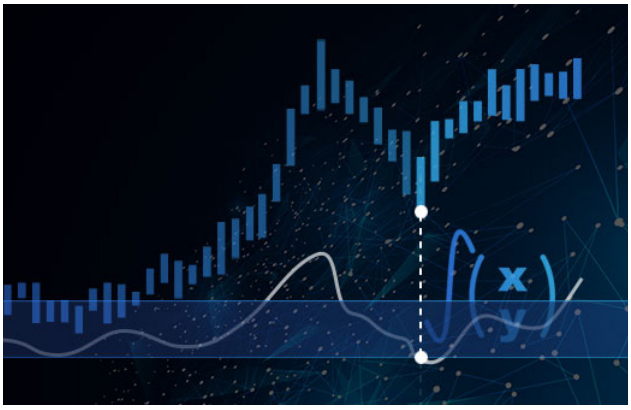
Keeping something on the backburner is an expression for something we don't need right now, but have available to ourselves as soon as we do need it.

It is more often than not that we're not in every trade before it blows up for a big move. As traders we always want to take advantage of liquidity and momentum, but we don't want to do so at the expense of risk management. If we see that a stock or coin has made an aggressive move, and we want to partake in the volatility, the backburner strategy is one that can be used to capitalize on volatility, momentum and volume, without sacrificing risk management, and definitely without giving into fomo.

Why does it work? Trading is a psychological game after all. Everyone else who missed the run also wanting to get a position will add to the momentum. This strategy takes advantage on the first major pullback, and usually finds you with an entry on the higher low of the next time frame up. Ideally a 5 min oversold entry would be an hourly higher low. An hourly oversold entry would also mark a daily higher low.

The Strategy

After a stock or coin sees significant run up, one would scout an entry the first time the ticker hits oversold conditions. The strategy can be modified for any time frame, but we will focus on the 5 minute and hourly time frame. For the 5 min time frame, the ideal would be that the first 5 min oversold conditions will mark an hourly higher low. For the hourly time frame, the ideal would be the hourly oversold conditions would mark a daily higher low. This also means that the significant move up we are watching, should be a significant move on the hourly time frame to watch for the first 5 minute oversold conditions, and the same for the daily time frame with the hourly.



When a stock or coin is running hot, the last thing we want to do is buy into a position out of pure FOMO (Fear of missing out). The trade may continue to go without us, but if we don't have an entry that maximizes our profit potential, while minimizing our risk, then we don't have an effective trade setup.

Armed with momentum on our side, other people also wanting to jump on the trade, and a top level that's nearby, we can whip out the trade from our back pocket.

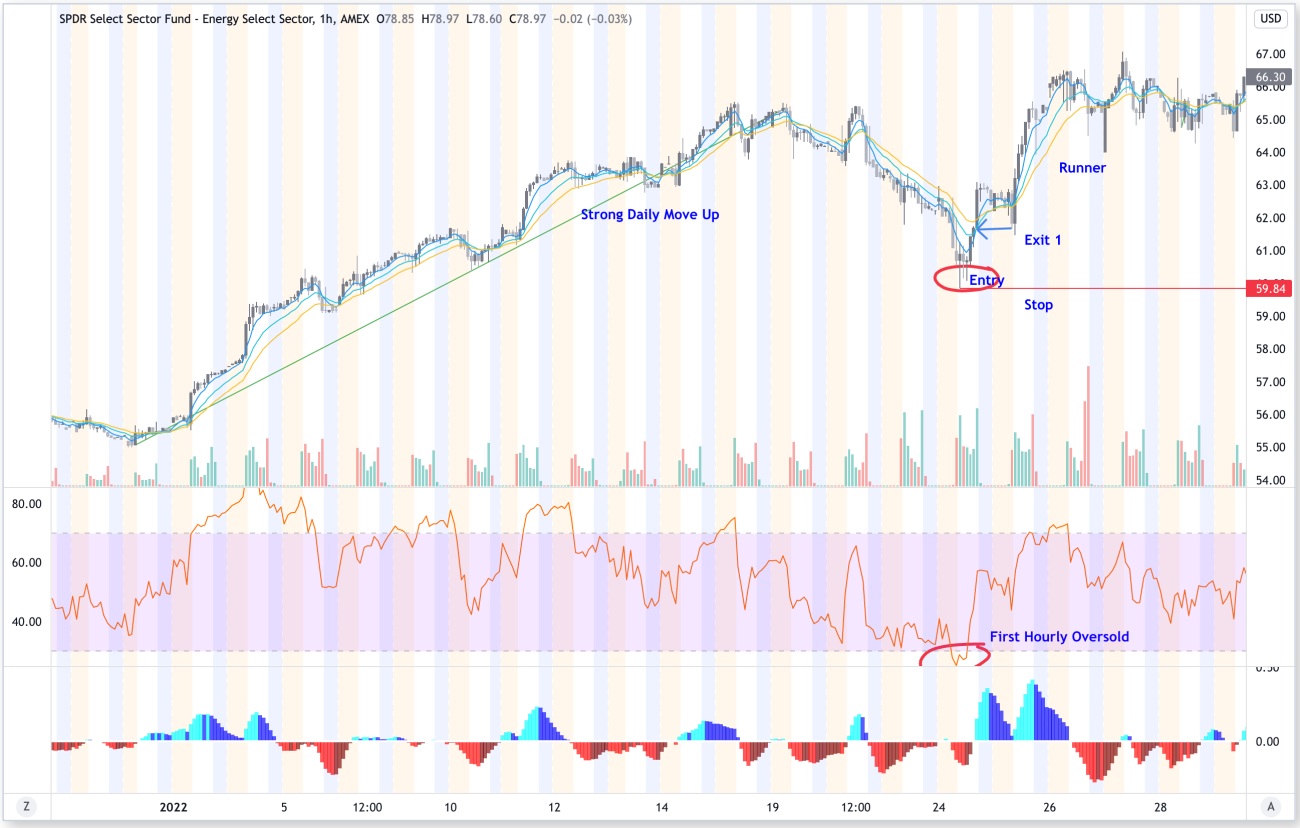


Diagram 1 XLE (1h) – Example of a Backburner trade with one entry and a two scale exit plan

Rules

While this strategy can be done in both a bull and bear market, for the remainder of this article we will focus on long entries after a strong upwards move for simplicity's sake.

- First entry when RSI dips under 30 for a long entry
- Second entry if and only if RSI dips to 20 or lower

Stop loss is based on the dollar amount you are willing to lose, which means we need to have position sizing and relative percent moves of the ticker figured out in advance. In a highly volatile ticker percentage wise, the entries will need to be smaller in dollar value than in a ticker that is far less volatile with respect to percentage moves. (E.g. dollar value in a Bitcoin trade can be higher than dollar value in an altcoin trade, since they move significantly more percentage wise than Bitcoin)

Diagram 2 BRBR (1h) – Example of a Backburner trade with two scaled in entries, and a two scale exit plan

Exits: Choose your plan

1. Exit all when bounce gets going into exponential moving averages for the scalp trade and quick profit.

2. Exit half after bounce gets going to reduce risk to zero moving your stop under the low and let the other half run for continuation.

3. Keep your stop under the low, after bounce gets going, walk up the stop according to your time frame.

Things to keep in mind

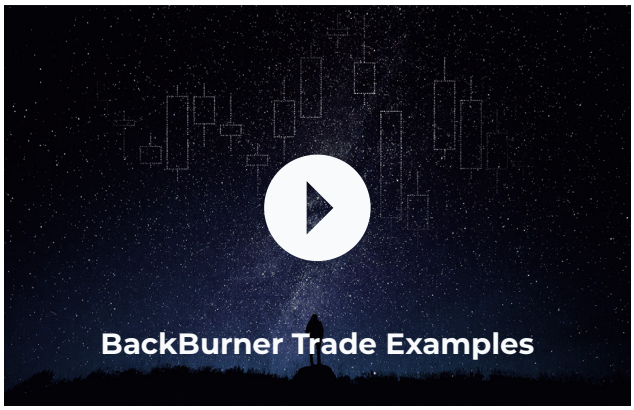
This strategy is not made for news events, or earnings. Those can significantly alter the psychology of the market, and therefore we cannot apply this setup.

This strategy has an expiration. If the first 5 minute oversold bounce plays out, or has a weak bounce and cools off the RSI, we can no longer be looking for the next 5 minute oversold conditions and also have it meet the criteria for this same ticker. We would have to be patient and then look for the first hourly oversold etc. If however the stock continues higher and sees more aggressive moves, we can apply the strategy once again on that next leg higher.

Diagram 3 SHOP (5m) – Example of a Backburner trade with two scaled in entries, and a two scale exit plan

Additional learning resources

Video 1 Click to play



Video 2 Click to play